

using that card. It can be that simple. Remember, the ball is in your court. If you tell them that you are going to transfer your balance elsewhere, they usually will drop the annual fee.

In the big picture of life and money, you might think at first that getting rid of an annual fee is no measurable savings. If you had a card with a \$50 annual fee and mindlessly paid it every year for thirty years, you would be wasting \$1500. That \$1500 could be used for other purposes, or invested, and over time would be worth several thousands more. We would never hold a fifty dollar bill in our fist and light it with a match and watch it burn away to ash. Yet that is exactly what we are doing if we are paying any annual fees to our credit card companies.

**3. Call all your credit card companies and ask for a higher credit limit.**

If you are a good customer, a balance-carrying-paying-the-minimum-each-month kind of good customer, the credit card issuer will raise your credit limit before you can say “thank you very much.” If they have you where they want you, they certainly want to keep you there. You don’t have to give a reason as to why you want a higher credit limit, but if they ask, you can say the words they love to hear – balance transfer. Tell them that you are planning to do a balance transfer from another card and want to be able to put the whole amount on their card, but that would require a higher credit line than you currently have. They would be delighted to help you out.

The real reason that you want a higher credit line on your card is for your credit score and your goal of improving it in any way you can. As I stated before, credit scores are lowered if your balances are too close to the credit limits. If you have a \$1000 credit limit on your credit card, and your balance is \$800, the FICO calculation counts that as a negative rating factor. Although I think that is stupid, we can work with it. Keeping your balances low, ideally at about 30%-35% of the total available credit, is good for your credit score. So make the calls and get your limits raised. The same \$800 balance on your card with a new \$2000 or \$2500 credit limit will boost your credit score.